Contoso Corp Health and Welfare Benefits Guide

Benefits Eligibility

This guide describes the health and welfare benefits available to eligible employees of Contoso Corp, including medical, dental, vision, life insurance, disability insurance, and the Employee Assistance Program. It applies to employees in the Northlake, Austin, and Dublin offices, with country-specific adjustments noted where applicable; Dublin-based employees should also consult the Ireland Benefits Supplement maintained by the Dublin People Operations team for statutory scheme coordination. This document works alongside the Contoso Corp Employee Handbook and does not replace the official plan documents and summary plan descriptions (SPDs) filed with each insurance carrier, which govern in the event of any discrepancy.

Employees are eligible to enroll in Contoso Corp's health and welfare benefits if they are classified as regular full-time employees scheduled to work at least 30 hours per week, or regular part-time employees scheduled to work at least 20 hours per week, in which case the company contribution toward premiums is prorated at 60 percent of the full-time subsidy. Temporary employees, interns, and independent contractors engaged through Contoso Corp's vendor management system are not eligible for these benefits regardless of hours worked, consistent with the classification standards described in the Contoso Corp Employee Handbook.

New hires become eligible for coverage on the first day of the month following 30 calendar days of continuous employment. An employee who starts on March 3 would therefore have a coverage effective date of April 1, provided enrollment elections are submitted within the 21-day enrollment window that opens on the hire date. Employees who miss this window without a documented reason may not enroll until the next annual open enrollment period unless they experience a qualifying life event as described below.

Eligible dependents include a legal spouse, a registered domestic partner (as evidenced by a Contoso Corp Domestic Partner Affidavit on file with People Operations), and children up to age 26, including biological children, legally adopted children, stepchildren, and children for whom the employee has been awarded legal guardianship. Coverage for a disabled dependent child may continue past age 26 if the child is incapable of self-support due to a physical or mental disability that existed prior to the age 26 cutoff, subject to annual recertification requested by the medical carrier no later than 60 days before the child's 26th birthday.

Contoso Corp's annual open enrollment period runs each year from October 15 through November 4, with elections taking effect January 1 of the following plan year. Employees who take no action during open enrollment are automatically re-enrolled in their current medical, dental, and vision elections at the following year's rates, except for Health Care and Dependent Care Flexible Spending Account elections, which do not carry forward and must be re-elected each year under IRS use-it-or-lose-it rules.

Outside of open enrollment, employees may change benefit elections only within 31 days of a qualifying life event, which includes marriage, divorce or legal separation, birth or adoption of a child, entry into or termination of a domestic partnership, a dependent losing eligibility under another plan, a spouse's or domestic partner's open enrollment at their own employer, and a change in employment status that affects eligibility, such as a move from part-time to full-time. Requests submitted after the 31-day window closes will be denied and the employee will need to wait until the next open enrollment period, so managers are encouraged to remind employees returning from a qualifying event to file promptly through the Workday benefits portal.

When employment ends for any reason, active coverage terminates at the end of the month in which the separation occurs, and the departing employee will receive a COBRA election notice from Contoso Corp's third-party COBRA administrator, BenefitBridge Administrators, within 14 days of the qualifying event. COBRA continuation coverage is available for up to 18 months for the employee and covered dependents at 102 percent of the full premium cost, and up to 36 months in certain secondary qualifying events such as divorce or a dependent aging out of eligibility.

Employees on an approved leave of absence under the Contoso Corp Paid Time Off and Leave Policy or the Contoso Corp Parental and Family Leave Policy continue to be treated as active for benefits purposes for the duration of approved paid leave, and for up to 12 weeks of unpaid leave that qualifies under the Family and Medical Leave Act, provided the employee continues to remit their share of premiums through payroll deduction or direct billing arranged with People Operations.

Employees rehired within 13 weeks of a prior separation are treated as continuing employees for eligibility purposes and are not subject to a new 30-day waiting period, provided they re-elect benefits within 21 days of rehire; employees rehired after a break of more than 13 weeks are treated as new hires and must satisfy the full waiting period again. This rule is intended to prevent short administrative gaps, such as a brief contract engagement between assignments, from disrupting continuous coverage for employees who remain closely connected to Contoso Corp.

Newly eligible employees who decline coverage during their initial 21-day enrollment window because they are covered under another employer's plan must complete a Waiver of Coverage form in Workday and will be required to provide proof of the other coverage if they later wish to enroll mid-year due to a loss of that coverage. People Operations audits a sample of dependent enrollments each plan year as part of a routine dependent eligibility verification process, and employees selected for review will be asked to submit supporting documentation, such as a marriage certificate or a child's birth certificate, within 30 days.

Medical Plan Options

Contoso Corp offers two medical plan options administered by Meridian Health Alliance: the Contoso PPO Plan and the Contoso High-Deductible Health Plan (HDHP) paired with a Health Savings Account (HSA). Both plans cover the same core set of preventive services at no cost to the employee when delivered by an in-network provider, consistent with Affordable Care Act preventive care requirements, and both plans use the same underlying Meridian Health Alliance provider network, so employees do not need to change doctors when switching between the two options during open enrollment.

Premiums for both plans are deducted pre-tax from each biweekly paycheck, and Contoso Corp subsidizes a substantial majority of the total premium cost for both employee-only and dependent coverage tiers. Employees can view current per-pay-period premium amounts, which are updated each plan year, in the Workday benefits portal under Total Rewards; the amounts below reflect the coming plan year's rate card and are provided here for planning purposes.

Both plans include a nationwide network augmented by the Meridian Away From Home Care program for dependents attending college or working more than 50 miles from a Contoso office, and both include telehealth visits through Meridian's virtual care platform, MeridianNow, at no cost regardless of whether the employee has met their deductible. Out-of-network care is covered under both plans, but at a substantially higher coinsurance rate and subject to balance billing, so employees are strongly encouraged to verify network status before scheduling non-emergency procedures.

Employees choosing between the two plans should weigh their expected annual health care spending against the trade-off between lower paycheck premiums and a higher deductible under the HDHP versus higher paycheck premiums and more predictable copays under the PPO. People Operations hosts a Medical Plan Comparison webinar during the first week of open enrollment each year, and one-on-one benefits consultations can be scheduled through the Total Rewards team for employees weighing a plan change following a major life event.

PPO Plan

The Contoso PPO Plan carries a per-pay-period premium of 78 dollars for employee-only coverage, 168 dollars for employee-plus-spouse-or-domestic-partner coverage, 152 dollars for employee-plus-child(ren) coverage, and 241 dollars for full family coverage. The annual in-network deductible is 500 dollars per individual and 1,000 dollars per family, and once the deductible is met, the plan pays 90 percent of covered in-network expenses, with the employee responsible for the remaining 10 percent coinsurance.

Primary care physician visits are covered with a flat 25 dollar copay that does not count toward the deductible, specialist visits carry a 45 dollar copay, and urgent care visits carry a 60 dollar copay. Emergency room visits require a 250 dollar copay that is waived if the employee is subsequently admitted to the hospital. Prescription drug coverage under the PPO uses a four-tier formulary: 10 dollars for generic drugs, 35 dollars for preferred brand-name drugs, 60 dollars for non-preferred brand-name drugs, and 25 percent coinsurance up to a 200 dollar maximum for specialty drugs, each per 30-day supply through a retail or mail-order pharmacy in the Meridian network.

The PPO Plan's in-network out-of-pocket maximum is 3,000 dollars per individual and 6,000 dollars per family, inclusive of deductible, copays, and coinsurance, after which the plan pays 100 percent of covered in-network expenses for the remainder of the plan year. Out-of-network coinsurance is 60 percent of the plan's allowed amount after a separate 1,000 dollar individual or 2,000 dollar family out-of-network deductible, and out-of-network expenses are subject to a higher combined out-of-pocket maximum of 8,000 dollars per individual.

The PPO Plan does not require a referral to see an in-network specialist, and employees do not need to select a primary care physician, though the plan encourages doing so through a modest annual wellness incentive described in the Contoso Corp Wellness Incentive Program summary available on the benefits portal. The PPO Plan is generally the better fit for employees who anticipate frequent office visits, have an ongoing chronic condition requiring regular specialist care, or prefer predictable copay amounts over managing deductible spending.

Because the PPO Plan is not a high-deductible health plan under IRS rules, employees enrolled in the PPO are not eligible to contribute to a Health Savings Account, though they remain eligible to participate in the Contoso Corp Health Care Flexible Spending Account, which allows pre-tax contributions of up to 3,200 dollars per plan year to cover eligible out-of-pocket medical, dental, and vision expenses for the employee and tax dependents.

High-Deductible Health Plan with HSA

The Contoso HDHP carries a lower per-pay-period premium of 42 dollars for employee-only coverage, 96 dollars for employee-plus-spouse-or-domestic-partner coverage, 88 dollars for employee-plus-child(ren) coverage, and 149 dollars for full family coverage. The annual in-network deductible is 1,650 dollars for employee-only coverage and 3,300 dollars for any tier covering dependents, and the deductible must be satisfied in full, including for preventive prescription drugs, before the plan begins paying coinsurance, in accordance with IRS HDHP rules.

After the deductible is met, the HDHP pays 90 percent of covered in-network expenses, the same coinsurance rate as the PPO, with an in-network out-of-pocket maximum of 3,500 dollars per individual and 7,000 dollars per family. Unlike the PPO, the HDHP does not offer flat-dollar copays for office visits or prescriptions; all non-preventive services are subject to the deductible and coinsurance until the out-of-pocket maximum is reached, which is the central trade-off employees should weigh against the plan's lower premium.

Employees enrolled in the HDHP are eligible to open and contribute to a Health Savings Account through Meridian's HSA custodian, Northlake Trust Bank. Contoso Corp seeds each enrolled employee's HSA with an employer contribution of 750 dollars for employee-only coverage or 1,500 dollars for any tier covering dependents, deposited in two equal installments in January and July for employees enrolled as of each installment date. Employees may contribute additional pre-tax funds up to the combined IRS annual limit, which for the current plan year is 4,150 dollars for individual coverage and 8,300 dollars for family coverage, inclusive of the employer seed contribution; employees age 55 or older may contribute an additional 1,000 dollar catch-up amount.

HSA funds are owned by the employee, roll over in full from year to year with no use-it-or-lose-it forfeiture, remain invested and accessible even after termination of employment, and can be used tax-free for qualified medical, dental, vision, and certain long-term care expenses at any point in the future, including after retirement, when HSA funds can supplement retirement income under the rules described in the Contoso Corp Retirement Savings Plan Guide. Employees should note that HSA and Health Care FSA enrollment are mutually exclusive under IRS rules; an employee enrolled in the HDHP with an HSA may instead elect a Limited Purpose FSA restricted to dental and vision expenses only.

The HDHP covers the same preventive care services at no cost as the PPO, including annual physicals, immunizations, and standard cancer screenings, and additionally covers a defined list of preventive maintenance drugs for chronic conditions such as hypertension, diabetes, and high cholesterol below the deductible, consistent with IRS Notice 2019-45 safe harbor guidance. The HDHP tends to suit employees who are generally healthy, want to build tax-advantaged savings, and can comfortably absorb a higher deductible in the event of an unplanned medical need.

Employees switching from the PPO to the HDHP during open enrollment should time large elective procedures carefully, since deductible accumulation does not carry over between the two plans; a procedure scheduled in December under the PPO and a follow-up scheduled in January after switching to the HDHP would require satisfying the new plan's deductible from zero. The Total Rewards team can run a side-by-side cost projection for employees considering a mid-year plan change tied to a qualifying life event.

Employees who enroll in the HDHP mid-year following a qualifying life event, rather than at the start of the plan year, receive a prorated employer HSA seed contribution based on the number of remaining payroll cycles in the plan year, calculated automatically by the Workday benefits module at the time of enrollment. Employees should also be aware that the IRS annual contribution limit is a calendar-year limit that applies across all HSA accounts an individual holds, including any HSA carried over from a prior employer, so employees who contributed to an HSA earlier in the same calendar year at a previous job must account for those contributions when electing their per-pay-period amount at Contoso Corp.

Dental and Vision Coverage

Contoso Corp offers dental coverage through Summit Dental Partners under a single comprehensive plan available to all eligible employees regardless of medical plan election. The dental plan carries a per-pay-period premium of 9 dollars for employee-only coverage, 17 dollars for employee-plus-one coverage, and 26 dollars for family coverage, with no premium increase planned for the coming plan year.

The dental plan is structured in three coverage tiers. Preventive services, including two cleanings and exams per calendar year, routine x-rays, and fluoride treatments for dependents under age 19, are covered at 100 percent with no deductible when performed by an in-network provider. Basic services, including fillings, simple extractions, and root canals, are covered at 80 percent after a 50 dollar individual annual deductible (waived for preventive services). Major services, including crowns, bridges, dentures, and dental implants, are covered at 50 percent after the same deductible, subject to a combined basic-and-major annual plan maximum of 2,000 dollars per person.

Orthodontia is covered separately at 50 percent coinsurance up to a lifetime maximum of 1,500 dollars per covered individual, available to both adult and dependent enrollees, a broader allowance than many peer companies extend to adult orthodontic treatment. Employees should obtain a pre-treatment estimate from Summit Dental Partners before beginning any major service or orthodontic treatment exceeding 500 dollars, since claims submitted without a pre-treatment estimate are more frequently subject to post-service documentation requests.

Vision coverage is provided through Clearview Vision Network and is bundled at no additional cost for any employee enrolled in either the PPO or HDHP medical plan; it is not available as a stand-alone election for employees who waive medical coverage. The vision plan covers one comprehensive eye exam per 12 months with a 10 dollar copay, and provides an allowance of 150 dollars toward frames or contact lenses every 24 months, or a 200 dollar allowance toward frames every 12 months for dependents under age 19 given the more frequent prescription changes common in childhood.

Standard single-vision, bifocal, and trifocal lenses are covered in full after the exam copay when purchased with an allowance-eligible frame from an in-network provider; premium lens features such as anti-reflective coating, photochromic tinting, and progressive lens upgrades are available at a discounted in-network rate but are not fully covered and are billed to the employee at the point of sale. Employees may also use out-of-network vision providers and submit a claim for reimbursement up to the plan's out-of-network allowance schedule, which is roughly 70 percent of the in-network allowance.

Both the dental and vision plans allow employees to add or drop dependents only during open enrollment or within 31 days of a qualifying life event, following the same rules described in the Benefits Eligibility section above. Domestic partners and their children are eligible for dental and vision coverage on the same basis as spouses and their children, provided the Domestic Partner Affidavit is on file with People Operations.

Employees who waive Contoso Corp dental or vision coverage because they have coverage through a spouse's or domestic partner's employer may re-enroll at the next open enrollment or upon loss of that other coverage, treated as a qualifying life event. Claims for both dental and vision plans can be submitted electronically through each carrier's member portal, and in-network providers file claims directly on the employee's behalf in the large majority of cases.

Employees can locate an in-network Summit Dental Partners or Clearview Vision Network provider using the searchable directories linked from the Workday benefits portal, and both directories allow filtering by specialty, such as orthodontists, oral surgeons, or pediatric optometrists, as well as by office location, which is useful for employees who split time between the Northlake headquarters and either the Austin or Dublin office. Employees relocating between Contoso Corp offices should confirm network availability in the new location before their move, since the density of in-network providers varies by region.

Life and Disability Insurance

Contoso Corp provides Basic Life and Accidental Death & Dismemberment (AD&D;) Insurance to all eligible employees at no cost, underwritten by Harborlight Mutual Insurance. Basic Life coverage is equal to one times annual base salary, rounded up to the nearest 1,000 dollars, with a plan maximum benefit of 500,000 dollars; Basic AD&D; provides an equal benefit amount for covered accidental death and a percentage of that benefit for covered dismemberment, paralysis, or loss of sight, speech, or hearing as defined in the AD&D; schedule of losses.

Employees may purchase Supplemental Life Insurance for themselves in increments of one times annual salary up to a maximum of five times annual salary or 1,000,000 dollars, whichever is less. Coverage up to three times salary (guarantee issue amount, subject to periodic adjustment) is available without medical underwriting during the initial enrollment window; amounts above the guarantee issue threshold, or any election made outside the initial window, require the employee to complete Harborlight's Evidence of Insurability questionnaire and receive underwriting approval before coverage takes effect.

Employees may also purchase Supplemental Dependent Life Insurance covering a spouse or domestic partner in increments of 10,000 dollars up to a maximum of 250,000 dollars, and covering each eligible child in a flat amount of 10,000 dollars, at rates based on the employee's age band as published in the annual rate table. Supplemental spouse or domestic partner coverage above 50,000 dollars requires Evidence of Insurability, while dependent child coverage is guarantee issue at all amounts.

Employees may name or update life insurance beneficiaries at any time through the Workday benefits portal, and Contoso Corp strongly recommends reviewing beneficiary designations after any qualifying life event such as marriage, divorce, or the birth of a child, since a beneficiary designation on file at the time of death governs regardless of subsequent changes in family circumstances that were not reflected in an updated form.

Short-Term Disability (STD) coverage is provided automatically to all eligible employees at no cost and replaces 60 percent of base weekly earnings, up to a maximum weekly benefit of 2,500 dollars, beginning after a 7-calendar-day elimination period for illness or injury (the elimination period is waived for an approved inpatient hospital admission). STD benefits are payable for up to 180 days, which is timed to align with the point at which Long-Term Disability benefits become available, and STD coordinates with any paid time off the employee elects to use during the elimination period as described in the Contoso Corp Paid Time Off and Leave Policy.

Long-Term Disability (LTD) coverage is likewise provided automatically at no cost and replaces 60 percent of monthly base earnings, up to a maximum monthly benefit of 15,000 dollars, beginning after a 180-day elimination period that runs concurrently with the end of STD benefits. LTD benefits are payable until the earlier of recovery, return to work, or Social Security Normal Retirement Age, and the plan's own-occupation definition of disability applies for the first 24 months of a claim, after which the definition shifts to any-occupation, meaning the employee must be unable to perform any job for which they are reasonably suited by training or experience to continue receiving benefits.

Employees may purchase Voluntary Buy-Up LTD coverage to increase the income replacement percentage from 60 percent to 66.67 percent of monthly base earnings, subject to the same maximum monthly benefit and elimination period, at a modest additional per-pay-period cost based on age and salary. Because LTD premiums for the base employer-paid plan are paid by Contoso Corp on a pre-tax basis to the company, benefit payments under the base plan are taxable to the employee if a claim is approved; employees who elect the Voluntary Buy-Up option pay their portion of premium with after-tax payroll dollars specifically so that the corresponding portion of any future benefit is received tax-free, and employees should discuss this trade-off with a tax advisor before electing.

Life insurance and disability claims are administered directly by Harborlight Mutual Insurance, and employees or their beneficiaries should contact the Contoso Corp Leave and Disability team at leaveanddisability@contoso-corp.example to begin a claim, obtain claim forms, or ask questions about coordination with FMLA leave or the Contoso Corp Parental and Family Leave Policy. Approved LTD claims that extend beyond 12 months trigger a review of continued eligibility for other Contoso Corp benefits, including whether the employee's employment status converts to inactive leave status under separate People Operations procedures.

Employees traveling internationally for Contoso Corp business are additionally covered under a Business Travel Accident policy, which provides supplemental AD&D; coverage of two times annual salary, up to a maximum of 750,000 dollars, for covered accidents occurring while traveling on approved company business, at no cost to the employee and with no enrollment required. This coverage is separate from and in addition to Basic AD&D; and any Supplemental Life or AD&D; coverage the employee has elected, and claims are coordinated by the Contoso Corp Risk Management team in partnership with Harborlight Mutual Insurance.

Employees who elect Supplemental Life Insurance above the guarantee issue amount and are declined or offered coverage at a rated premium following Evidence of Insurability review may appeal the underwriting decision directly to Harborlight Mutual Insurance within 60 days, and may separately request a review by the Contoso Corp Total Rewards team if they believe the enrollment or underwriting process was not administered correctly. Employees terminating employment may generally port or convert Basic and Supplemental Life coverage to an individual policy within 31 days of separation, without Evidence of Insurability, though premiums for converted individual coverage are typically higher than active-employee group rates.

Employee Assistance Program

Contoso Corp provides a fully confidential Employee Assistance Program (EAP) through CareFirst Wellbeing Partners to all employees and their household members, regardless of medical plan enrollment or even employment status change, at no cost to the employee. The EAP is intended as a first-line resource for personal, family, financial, legal, and work-related concerns that may affect wellbeing or job performance, and is available whether or not the employee is enrolled in any Contoso Corp medical plan.

Each covered individual is eligible for up to 8 free counseling sessions per issue, per calendar year, with a licensed clinician, available in person at one of CareFirst's partner clinics near the Northlake, Austin, or Dublin offices, or remotely by video or telephone for employees who prefer not to travel or who work from a location without a nearby partner clinic. If ongoing care is needed beyond the 8 covered sessions, the EAP clinician will assist with a referral into the employee's medical plan network or other appropriate community resources, and will help navigate any resulting insurance coordination.

All EAP interactions are strictly confidential and are not shared with Contoso Corp managers, People Operations, or any other Contoso Corp personnel except in the narrow circumstances required by law, such as an imminent risk of serious harm to the employee or others, or as otherwise required by a valid legal process. Utilization of the EAP is reported to Contoso Corp only in aggregate, de-identified statistics used to evaluate program effectiveness, and no individual employee's use of the program is ever visible in Workday or any other Contoso Corp system.

In addition to short-term counseling, the EAP provides unlimited telephone consultations with legal and financial specialists, including a free initial consultation for matters such as estate planning, landlord-tenant disputes, debt management, and tax questions, with discounted rates for representation beyond the initial consultation. The EAP also maintains a work-life services desk that can assist with locating child care, elder care, and pet care resources, and can help coordinate care logistics for employees returning from leave under the Contoso Corp Parental and Family Leave Policy.

Managers may make a formal management referral to the EAP when workplace performance or conduct concerns appear related to a personal or behavioral health issue, but a management referral never overrides the confidentiality protections described above; the EAP will only confirm to the referring manager whether the employee attended a scheduled appointment, and will not disclose the substance of any session without the employee's written consent.

The EAP is also Contoso Corp's primary resource for critical incident support, and CareFirst maintains an on-call crisis line staffed 24 hours a day, 7 days a week, reachable at 1-888-555-0143, for situations involving acute distress, workplace incidents, or the sudden loss of a colleague. People Operations coordinates with CareFirst to arrange on-site group debriefing sessions at any Contoso Corp office following a significant critical incident, at the request of the site's HR Business Partner.

Employees can access the EAP directly, without any manager approval or referral, by calling the CareFirst member line or logging into the CareFirst member portal using the Contoso Corp group access code available on the benefits section of the company intranet. First-time callers are typically connected with an intake counselor within one business day, and same-day phone support is available for anyone describing an urgent need.

Because the EAP is offered independent of medical plan enrollment, it remains available to employees during the 30-day new hire waiting period described in the Benefits Eligibility section, to employees on an approved unpaid leave of absence, and for a limited transition period of 90 days following termination of employment, giving departing employees continued access to counseling and referral support during a job transition.